

gains tax. Let's say you and your partner own a modest cottage that you bought for \$100,000 30 years ago; it's worth \$1 million today. You and your spouse are not going to reconcile. In a shadow divorce scenario, it's better for you to figure out a way to keep the cottage and split the time you use it amicably than sell it. It's simple math: you've got a \$900,000 capital gain on the cottage. The TCG, or taxable capital gain, is half of that, so \$450,000. If you're in the highest marginal tax bracket, you'll owe 45 percent to the government. That means when you sell the cottage, you're going to owe \$202,500 in capital gains tax. Split that down the middle and you've each given up \$100,000! That's insane and unnecessary. Why not agree to the cottage remaining a joint asset? Each person gets to use it for six months a year. If you can agree to that, you're going to save \$200,000. Remember how I told you that every asset should be owned jointly? This illustrates why.

In the right context, a shadow divorce can be highly effective. (It works best when all children are grown and out of the house.) By sidestepping a real divorce, you won't have to get the government involved or pay thousands of costly attorney fees. But you will need to hire a lawyer to draft a letter crystallizing your separation date. That little date is a big deal: it's the date all your family assets stop accumulating. If you or your spouse loses or makes money after that, it's not pertinent; your joint assets are locked in at the monetary value that they had on your separation date. So get that letter and then don't call your lawyer again—you won't have to. You can still receive the tax benefits of marriage without the emotional stress of staying with someone you no longer want to share your life with. The beauty of this strategy is that the legal option of divorce is always open if, for some reason, you want to go through that later. In the meantime, you have saved tens of thousands and can get on with your life—in a better financial situation.

Money Mistake: *Your Kids Are Following in Your Footsteps*

The Fix: *Set Them Up for Success*